

KEY TERMINOLOGY

ECONOMY



- NPCI
- Rupay Card
- Overdraft
- Universal Banks
- Niche Banks

MODULE - 18

- Term Loans
- Soft Loan
- Secured Loan
- Insolvency
- Bankruptcy

TANGIBLE ASSETS

- Land
- Building
- Car
- T.V.
- Mobile Phone



(Material Assets)

INTANGIBLE ASSETS

- Goodwill
- Brand name
- Creditworthiness
- Knowledge
- Intellectual capability



(Non-Physical Assets)

IFSC CODE

- ✓ It is Indian Financial System Code.
- ✓ It is alpha-numeric code, which identifies any branch under the NEFT system
- ✓ It is 11 digit code

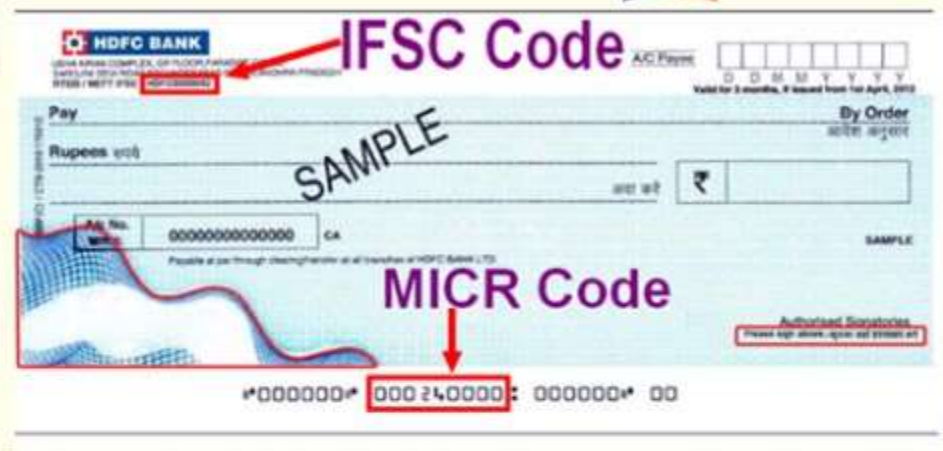
4 ALPHA CHARACTERS

↑
Bank

0 LAST SIX DIGITS

↑
representative branch

- ✓ IFSC code is a must for money transfer through NEFT / RTGS.

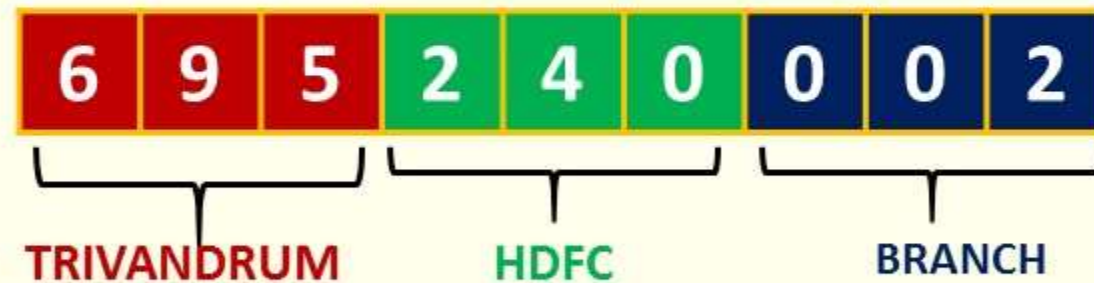
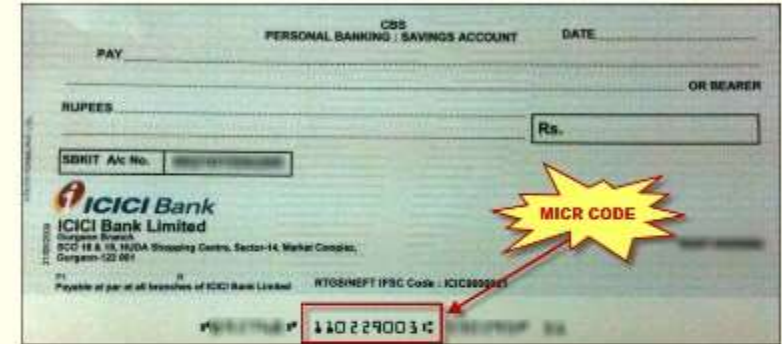


HOW DO THE BANKS TRANSFER MONEY ELECTRONICALLY?

- | | | |
|------|-----|--|
| NEFT | ... | National Electronic Funds Transfer (For small amounts) |
| RTGS | ... | Real Time Gross Settlement (For large amounts) |

MICR CODE ON CHEQUES

- It is Magnetic Ink Character Recognition (MICR).
- It is a 9 digit code.
- First three digits ... city / district
- Next three digits ... name of bank
- Last three digits ... location of branch / branch name



- MICR code is essential for Electronic Clearing Service (ECS)
- Electronic Clearing Service (ECS) is the electronic mode of payment / receipt for transaction that is repetitive and periodic in nature.



DEBIT CARDS & CREDIT CARDS ...MAJOR DIFFERENCES



DEBIT CARD

- Spending your **own money**
- Will be reflected in the **monthly statement of bank accounts**
- Connected to the **bank account**
- Control over **expenditure** is possible

CREDIT CARD

- Borrowing from a bank or financial institution
- It is categorized **under revolving credit**
- Monthly bills will be generated, which should be **repaid within the grace period**
- Need not be connected to the bank account
- May lead to frivolous spending
- **Very high interest**, if **not repaid** within stipulated time

KEY TERMINOLOGY IN ECONOMY



VISA AND MASTERCARD



- VISA (Visa International Service Association) and MasterCard are Payment processing institutions and several financial institutions use these platforms to facilitate services through Debit cards and Credit cards and for other electronic transactions across the world.
- Both VISA and MASTERCARD are accepted at several merchant outlets.
- Both are American based financial services companies with headquarters at New York (MasterCard) and California (Visa).
- The other processing companies are American Express, Discover etc.



NATIONAL PAYMENTS CORPORATION OF INDIA



WHAT IS NPCI?

- It is National Payments Corporation of India.
- It is **incorporated in December 2008** (Under section 25 of the Companies Act)
- Started functioning **from April 2009** (From RBI premises in Mumbai)
- Authorised capital ... **Rs 300 crores**
- **Promoted by various commercial banks**
- Headquarters is in **Mumbai**

MISSION OF NPCI

- Consolidating and integrating **multiple payment systems**.
- Developing uniform and standard business **processes for all retail payment systems**.
- Facilitating affordable payment mechanism to **benefit the common man across the country**.
- Developing any time, anywhere, payment services which are **simple, safe, secure and cost effective**.

KEY TERMINOLOGY IN ECONOMY



WHAT IS RUPAY CARD?

- It is the card **indigenously** developed by NPCI.
- It is domestic version for **electronic** payments.
- RuPay stands for **Rupee Payments**.
- Logo consists of **orange and green** arrows.
- RuPay debit cards were **launched** in **March 2012**.
- They became popularized with **PMJDY** scheme since **2014-15**.



WHAT IS THE DIFFERENCE BETWEEN CASH CREDIT ACCOUNT & OVERDRAFT ACCOUNT?

CC A/C ... CASH CREDIT ACCOUNT
OD A/C ... OVERDRAFT ACCOUNT

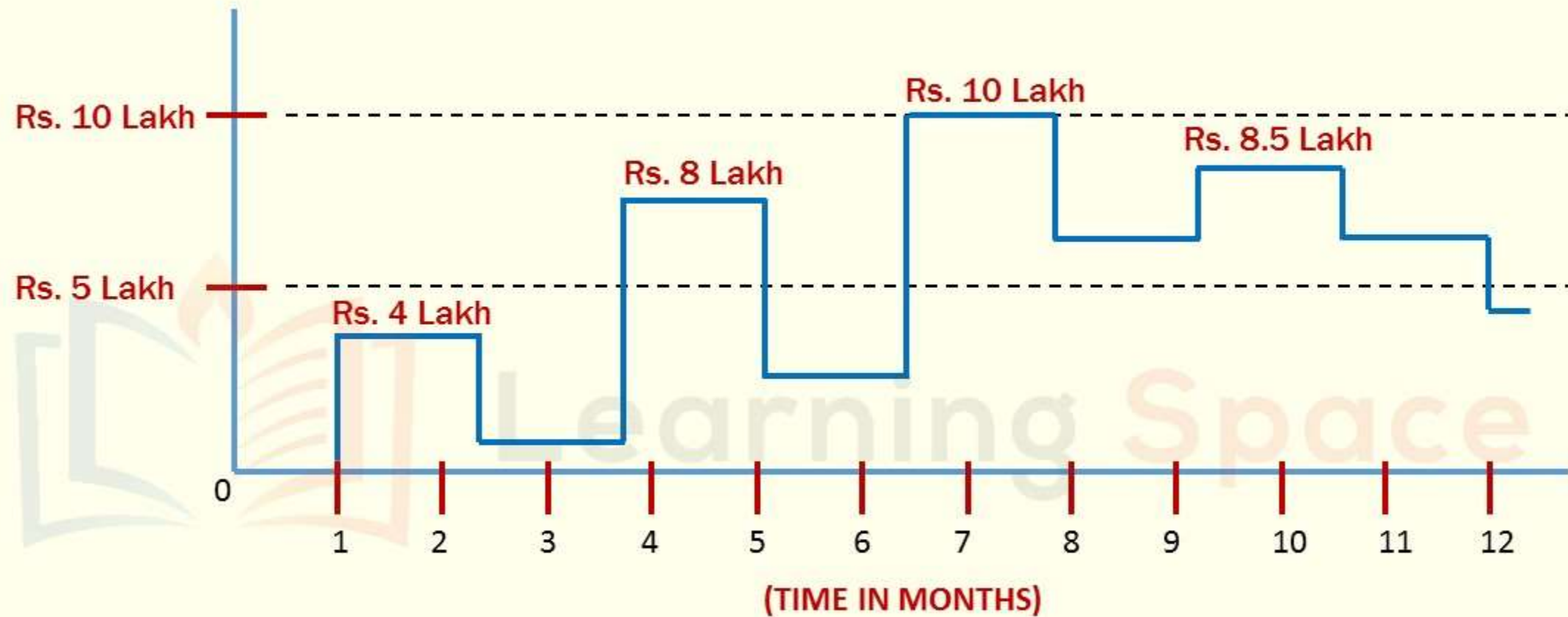
SIMILARITIES OF THESE TWO ACCOUNTS

- A borrower can withdraw funds as and when needed, upto the credit limit given by the banker.
- Borrower can repay the amount as per the terms and conditions, and the interest will be charged over the amount borrowed only.
- (If the credit limit is Rs. 20 lakhs, and the borrower withdraws only Rs. 10 lakhs, he is required to pay interest only for Rs. 10 lakhs up to the date of repayment)
- It gives flexibility to the borrower.

DIFFERENCES BETWEEN THESE TWO ACCOUNTS

- The distinction between an Overdraft and a Cash Credit is in the nature of the security.
- When the advance is secured by the pledge/hypothecation of goods or produce, it is treated as a Cash Credit Account.

OVERDRAFT LIMIT IS Rs. 10 LAKH



State Bank of India
With you - all the way

**Pure Banking.
Nothing else.**

OVERDRAFT FACILITY GIVEN BY SBI TO FIRM XXX

KEY TERMINOLOGY IN ECONOMY

ILLUSTRATION TO EXPLAIN TERMINOLOGY OF LOANS

AMOUNT TO BE PAID EVERY
MONTH
... EMI

PAYING OFF OF DEBT WITH A FIXED
REPAYMENT SCHEDULE IN REGULAR
INSTALLMENTS OVER A PERIOD OF TIME
... AMORTIZATION



PERIOD NOT REQUIRED TO PAY BACK
... MORATORIUM



PROCESS OF PAYING BACK EVERY MONTH
... SERVICING OF LOAN



State Bank of India
With you - all the way

*Pure Banking.
Nothing else.*

FIRM XXX TOOK TERM LOAN FROM SBI

KEY TERMINOLOGY IN ECONOMY



Learning Space

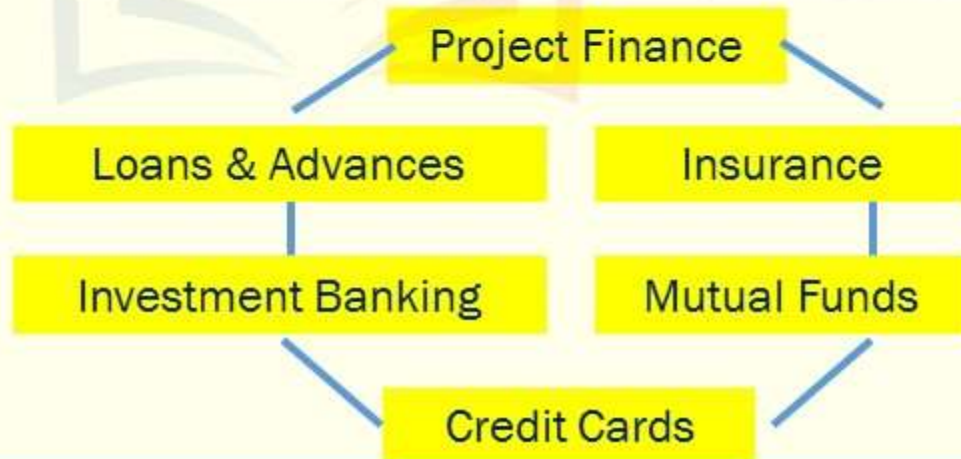
UNIVERSAL BANKS



We understand your world



“These can undertake multiple financial activities under one roof”



DIFFERENTIATED BANKS

- Payment banks
- Small finance banks (for the first time RBI allowed these type of banks in 2015)

AND

- They can undertake only limited range / narrow range of activities.
- They are also called “niche” banks.



KEY TERMINOLOGY IN ECONOMY

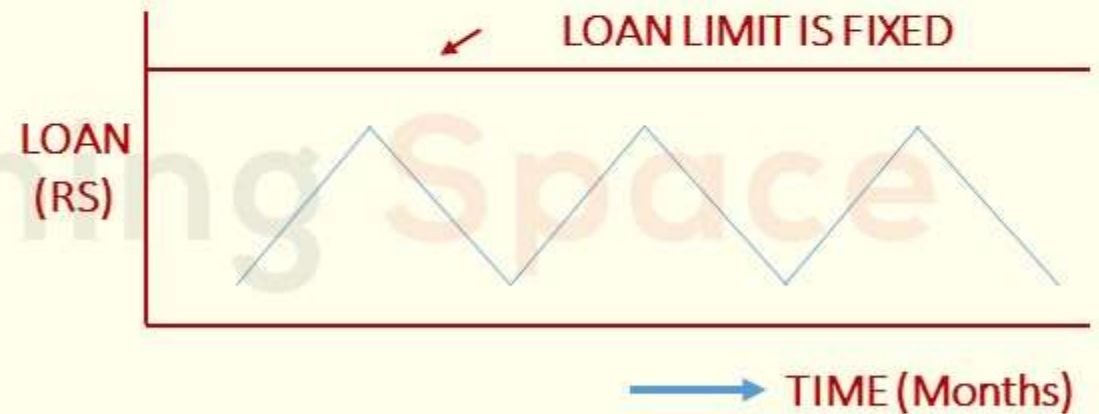
TERM LOANS

- House loans
- Vehicle loans
- Personal loans
- Corporate loans



REVOLVING CREDIT

- Overdraft Account
- Cash Credit Account
- Credit Card Advances
- Kisan Credit Card



GREENFIELD PROJECT

Starting project afresh,
without any link to the
previous project



BROWNFIELD PROJECT

Expanding / modifying /
upgrading / extending the
existing project





SOFT LOAN

- Loans at below market interest rates
- Longer repayment period
- Interest holidays
- Moratorium for some period
- Also known as concessional lending

SKIMMING



- “Illegally copying/ stealing information from the magnetic stripe credit / debit cards”
- “This is done by a skimmer, which is a small device inserted in the ATM card slot / at merchant establishments

PHISHING

- “Attempt to acquire your sensitive information like username, passwords of your internet banking account or collecting the details of your credit card/ debit card”



State Bank of India

THE BANKER TO EVERY INDIAN



बैंक ऑफ़ बड़ौदा
Bank of Baroda

India's International Bank



ICICI Bank

khayaal aapka



भारतीय स्टेट बैंक
State Bank of India

हर भारतीय का बैंक
THE BANKER TO EVERY INDIAN

LENDER
SBI

SECURED LOAN

BORROWER
X



COLLATERAL SECURITY

- Some property as collateral
- Lender will have lien over that property
- Interest rates will be lesser than unsecured loans

REMEMBER!

Interest rates will be less, when the loan is a secured one

KEY TERMINOLOGY IN ECONOMY



UNSECURED LOAN

BORROWER
Y

NO
COLLATERAL
SECURITY

- No collateral
- Risky from the lenders point of view
- Given based on the creditworthiness of the borrower
- Also called signature loan
- Interest rate will be high
- Credit card advances / personal loans are examples of unsecured loans

INSOLVENCY

PERSON
X

OR

COMPANY
XXX



TOTAL ASSETS



ASSETS
LESS THAN
LIABILITIES

CREDITOR 1

CREDITOR 2

CREDITOR 3

TOTAL LIABILITIES

INSOLVENCY MEANS

“State of being not able
to pay back
the liabilities”

OR

“Condition of having
more debts (liabilities)
than total assets”

BANKRUPTCY

PERSON
X

OR

COMPANY
XXX



TOTAL ASSETS



CREDITOR 1

CREDITOR 2

CREDITOR 3

TOTAL LIABILITIES

“LEGAL STATUS OF A PERSON OR A COMPANY THAT
CANNOT REPAY THE DEBTS IT OWES TO THE
CREDITORS”



LIQUIDATION

**COMPANY
XXX**

“Process by which a company is brought to an end”

AND

The assets of the company will be redistributed

AND

Sometimes, undertaken with the intervention through a court of law



LIQUIDITY

MOST LIQUID ASSETS



भारतीय स्टेट बैंक
State Bank of India

हर भारतीय का बैंक
THE BANKER TO EVERY INDIAN



OTHER LIQUID ASSETS



LESS-LIQUID ASSETS



“The extent of assets, which can be converted into cash form, without much loss of value.”

CHIT FUNDS

- ✓ As per the Chit Funds Act, 1982.
- ✓ As per this Act, State Govts are authorized to issue guidelines and hence State Govts regulate them.
- ✓ Around the globe, they are called “Rotating Savings and Credit Associations”.
- ✓ In India, they are called by many names like Chit, Chitti, Kuri etc...
- ✓ They lack any standardized form of working.
- ✓ They make periodic subscriptions and the beneficiary is one among them.
- ✓ As the regulatory framework is weak, there were instances of failures several times in the past.



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FOR VIEWING THIS VIDEO

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